

A survey it commissioned found that claim settlements took time, and most respondents said they also faced issues in fair settlement of their claims. This included companies as well. Besides, there were complaints about the integrity of surveyors deployed by these insurers.

In 1994, the Malhotra Commission recommended a host of measures such as allowing private sector participation in the sector and 26% foreign direct investment. It also recommended the setting up of a regulatory body for the sector. It took six years for that report to be acted upon, in 2000. The Insurance Regulatory and Development Authority of India (Irdai) was also born then.

From 27 in 2001-02, the number of firms had increased to 48 by 2010, in what is called the second wave of growth in the insurance sector. The number now stands at 73—26 in life, 25 in general, eight in health, and 14 in reinsurance and specialised insurance. Of these, 10 insurers have been listed on the stock exchanges, with a combined market capitalisation of ₹11 lakh crore as of April 9.

Yet, despite this transformation, insurance penetration remains at a modest 3.7% of GDP—2.8% for life and just 1% for general—well below the global av-

erage of 7%, indicating ample room for more players. Moreover, despite the regulator's goal of achieving "Insurance for All" by 2047, the industry's penetration rate has actually declined from 4.2% in 2022—highlighting that growth in the sector has not kept pace with the broader economy.

Even in terms of density, or the average amount of premium collected per person, India lags far behind comparable countries. In fact, it was a measly \$95, per an EY report, compared to \$9,640 in the US, \$508 in China, and a global average of \$889.

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"THINK OF THE insurance industry in three phases," says Vineet Patni, Managing Director at advisory firm Wepartner Consult. The first phase of growth—marked by the opening up of the sector in 2000—was highly profitable, with early entrants like Bajaj Allianz, Max

LONG WAY TO GO

- Insurance penetration is still low in India at just 3.7% of GDP, against the global average of around 7%
- At just \$95, India lags even in terms of density, or the average premium collected per person

